

MONROE VS. LITHIA CIMR, INC., ET AL.

CASE NUMBER: 25CV-0209036

Tentative Ruling on Motion to Compel Arbitration: Defendant Hyundai Motor America (“HMA”) moves for an order compelling this matter to arbitration. The Motion is unopposed.

Allegations of the Complaint: Plaintiff’s Complaint alleges eight causes of action against five Defendants. The named Defendants are: Lithia Motors, Inc., Litha Chevrolet of Redding, Hyundai Motor America, Safe-Guard Products International, LLC, and Santander Consumer USA, Inc. All allegations arise out of Plaintiff’s January 22, 2025 purchase of a 2020 Hyundai Kona from Litha Chevrolet of Redding. The vehicle was sold with approximately 43,800 miles and was covered by Hyundai’s 5-year/60,000 mile vehicle limited warranty and Safe-Guard’s Nomad 3-year/36,000 mile service agreement. The Complaint alleges that the transmission failed on July 30, 2025. The Complaint alleges that Lithia recommended replacing the transmission under factory warranty but then delayed repairs. The Complaint alleges that Safe-Guard, Lithia and Hyundai failed to coordinate authorizations, leaving the car disabled for months. HMA now seeks to compel Plaintiff’s claims to arbitration and to stay all proceedings in this action pending conclusion of the arbitration.

Procedural History: Plaintiff filed this action on October 27, 2025. No proof of service of summons for any Defendant is on file. Defendant Safe-Guard Products International, LLC filed a Motion to Compel Arbitration on December 23, 2025. It was originally set for hearing on January 26, 2026. On that date, the Court identified a service defect, based on Plaintiffs’ notice of change of address which had been filed and served shortly before Safe-Guard filed its Motion. Hearing on the Motion was continued to March 30, 2026 to remedy the service defect. Proper proof of service on Plaintiff is now on file for Safe-Guard’s Motion.

On March 30, 2026, the Court elected to continue hearing on Safe-Guard’s Motion to May 26, 2026. The Court explained that because the California Arbitration Act applies to Safe-Guard’s purported arbitration agreement, the Court would need to determine whether each party’s claims are severable and subject to stay or if all pending claims arise out of the same transaction or series of related transactions, such that there is a possibility of conflicting rulings on common factual or legal issues. See CCP § 1281.2; *Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal. App. 4th 959, 967. The Court found that it would be unjust to proceed to rule on Safe-Guard’s Motion without giving both Safe-Guard and HMA notice of each other’s Motions, and the opportunity to address these issues.

Consistent with the March 30, 2026 ruling continuing hearing on Safe-Guard’s Motion to Compel Arbitration, the Court will also continue hearing on HMA’s Motion to Compel Arbitration to the same date. To ensure consistent outcomes and provide all parties with proper notice and the opportunity to respond, the hearing on HMA’s Motion to Compel Arbitration is continued to **Tuesday, May 26, 2026 at 8:30 a.m. in Department 64.** HMA is directed to give notice to all parties who have appeared in this matter, which now includes Safe-Guard, as well as Lithia Motors, Inc. dba Lithia Chevrolet of Redding and Santander Consumer USA, and to file proof of service of having done so. The Court will also consider any supplemental briefing any party wishes to file regarding the Court’s evaluation of this matter under CCP § 1281.2(c). Filing deadlines will be pursuant to CCP § 1005.